THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

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CLASS 9 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 3

Chapter 13: **Managing Your Personal Finances (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Which statement about taxation is correct? 1

(a) Tax is the same for all **(b)** Tax slabs never change

(c) Taxes are voluntary **(d)** Taxes fund public goods

2. Assertion (A): A progressive tax system taxes higher incomes at higher rates. Reason (R): It reduces inequality. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

3. Assertion (A): Compounding benefits early investors. Reason (R): Returns earn further returns over a longer period. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

4. Which can reduce tax legally? 1

(a) Paying less **(b)** Not filing

(c) Standard deduction **(d)** Hiding income

5. Taxable income Rs 12,00,000: tax before rebate is 1

(a) Rs 1,20,000 **(b)** Rs 80,000 **(c)** Rs 40,000 **(d)** Rs 60,000

6. Which pair is correct? 1

(a) GST - direct tax **(b)** FD - high risk

(c) SENSEX - bank **(d)** PM-JAY - health insurance

7. A person's expenses exceed income each month. The first correction is 1

(a) take more loans **(b)** stop saving

(c) ignore **(d)** revise budget and cut costs

8. Assertion (A): Insurance eliminates risk. Reason (R): Insurance transfers risk to a pool. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

9. Which statement correctly links liquidity and returns? 1

(a) Liquid assets always give highest returns
(b) Liquidity means risk
(c) More liquid assets often give lower returns
(d) No link

10. A student plans to buy a bicycle in 6 months for Rs 3,000 but saves only Rs 400 a month. Shortfall is 1

(a) Rs 1,000 **(b)** Rs 600 **(c)** Rs 300 **(d)** Rs 0

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why is tax compliance important? 2

12. Why are interest rates important for borrowers? 2

13. Why should one compare insurance policies? 2

14. Why is diversification wise? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Compare tax paid on taxable incomes Rs 13,25,000 and Rs 16,00,000. 3

16. Rita earns Rs 50,000 a month. Rent 12,000; food 10,000; education 6,000; transport 4,000; others 5,000. Find savings and savings rate. 3

17. Explain why liquidity is needed even if returns are lower. 3

OR

Calculate compound amount on Rs 40,000 at 10% for 3 years. 3

18. Evaluate EMI vs saving to buy a Rs 60,000 laptop. 3

OR

Explain how family goals shape the budget. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Evaluate the importance of paying taxes for national development. 5

OR

Discuss the benefits and risks of using credit and EMIs. 5

20. Rohit earns Rs 90,000 a month and wants to buy a Rs 6 lakh bike in 3 years. Prepare a plan with savings, investment choices and risks. 5

OR

Examine the risk-return trade-off with an example for a student and for a retiree. 5

END OF QUESTION PAPER — Total: 40 Marks

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